

To Strip Down or Not! How to Make a Mass Market Product

Amongst all the markets in the world, the fastest growing section is at the bottom of the pyramid, claims C.K. Prahalad in his renowned book, 'The Fortune at the Bottom of the Pyramid.' Do you have a tech product that can sell to this huge market?

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Technology is one of the key routes in bridging the gap between the rich and the poor in countries like India, and can facilitate development in many ways. It can enable free or easy access to education (Cisco Dwara, Khan Academy, The Shuttleworth Foundation), simplify trade and commerce (ITC's e-Choupals), offer employment (Desi Crew's rural BPOs), provide health services (Wipro's remote foetal health monitor, Neurosynaptic's ReMeDi), enhance agricultural yield (RTBI's agri-advisory system, the Kisan Call Centre) and much more. Hence, technology does qualify as an 'essential section' for the population at the bottom of the pyramid (BoP).

This is also an extremely large and attractive market for tech companies to enter.

However, building products for this market is not easy. There are multiple factors at play here, from cost and usability to culture and economics. So, let us begin this interesting journey of introspection (the year end is always a good time for reflection)

by talking with a few experts on what it takes to build a successful product for the BoP, and then look at some successful examples.

Why make products for the BoP

"That's an easy one. The answer is size. Simply size. And it's growing," asserts Sunil Malhotra, founder and CEO, Ideafarms. "On one side, the share of the wallet of each player in the market is shrinking with increased competition. Overseas markets may not be shrinking but have saturated. India is one of the best hunting grounds for large international companies, not just due to market size (and the fact that it is one of the fastest growing) but also because the semi-urban and rural consumers are beginning to aspire for better lifestyles and therefore better products. Going early to a market that's ready and eager simply makes good business sense."

"India and China alone constitute around 40 per cent of the world's population. Both are growing economies where the spending power is on the rise, but there is a high demand for products that offer value rather than products that command a brand premium. Even in developed countries, a large percentage of the population would fall into the category that looks for products that offer value for money," says Kantheti Srinivas, director, Processor and DSP Apps, Analog Devices India, a company that offers processors, low-cost MEMS microphones, capacitive touch sensors and other components for products targeted at the mass market.

He adds, "Considering the huge volumes and the opportunities knocking on our doors here, it is important that electronics companies tap the market. However, products in this segment need to offer value and not just be low-cost."

